

Year 1 OCR Economics linear scheme of work

This Scheme of Work is based on:

- 32 weeks' teaching in Year 1 — including 4 weeks' revision
- 20 weeks' teaching in Year 2 — in order to finish teaching by Easter

This should give centres some flexibility to accommodate mock exams and other disruptions to the school timetable.

All references to the student book refer to *OCR A Level Economics*, 4th edition, by Peter Smith with Simon Dyer (Hodder Education, 2019).

Year 1: Autumn term				
Week	Specification topic	Specification content	Student book pages	Additional notes
1	1.1 The economic problem	Economic goods and free goods The economic problem: scarcity, choice, needs, and wants Normative and positive statements The role of economic agents: government, firms, and households The factors of production: land, labour, capital, and enterprise The rewards of the factors of production: rent, wages, interest and profit The problem of scarcity and the requirement to make choices Rationality as a way of understanding the behaviour of economic agents The different objectives of the economic agents in an economy	pp. 2–4	Knowledge check 1.2 (p. 4)
	1.3 Opportunity cost	Opportunity cost and trade-off Movements along a production possibility curve (PPC) Shifts of a production possibility curve (PPC) The usefulness of the concept of opportunity cost	pp. 9–16	Exercise 1.4 (p. 14) — opportunity cost and PPF Case study 1.1: Plantains and tobacco (p. 15) — production possibility frontiers and opportunity cost Chapter 1 questions: A and B (p. 16)
	2.1 Specialisation and trade	Specialisation and the division of labour Barter systems Money as a medium of exchange The role of specialisation and the division of labour in addressing the problem of scarcity	pp. 21–25	

2	1.2 The allocation of resources	Incentives Market, planned and mixed economic systems Economic efficiency: productive and allocative efficiency The effectiveness of incentives on the behaviour of economic agents and resource allocation The allocation of resources in the different economic systems	pp. 5–7, 17–21	Read extension material in Chapter 1 'Three questions in economics' (p. 9) — link to economic systems Case study 2.1: Singapore (p. 26) — central planning versus free market Chapter 2 questions: C (p. 27) — question on the division of labour and scarcity Exercise 2.1 (p. 19) — discuss incentives Exercise 7.1 (p. 78) — useful discussion questions on rationality Use extension material in Chapter 7 'Do consumers always act rationally?' (p. 81) Chapter 2 questions: A and B (p. 27) — assess economic systems, utility and incentives Productive and allocative efficiency are covered in Chapter 7
3	2.2 Demand	The relationship between price and quantity demanded Individual and market demand Joint, competitive and composite demand Movements along the demand curve (extension/contraction) Shifts of the demand curve (increase/decrease)	pp. 30–41	Exercise 3.1 (p. 33) — drawing a demand curve Exercise 3.2 (p. 35) — normal or inferior goods Exercise 3.3 (p. 37) — drawing shifts in demand Exercise 3.4 (p. 40) — consumer surplus Case study 3.1: Fast food (p. 40) — factors affecting demand for fast food Chapter 3 questions (p. 41)

	2.3 Supply	The relationship between price and quantity supplied Individual and market supply Joint and competitive supply Movements along the supply curve (extension/contraction) Shifts of the supply curve (increase/decrease)	pp. 42–47, 49	Exercise 4.1 (p. 43) — drawing a supply curve Note Chapter 4 study tip (p. 43) and the difference between price and cost. Knowledge check 4.4 and study tip (p. 46) — the difference between shifts and movements in supply. Exercise 4.2 (p. 46) — drawing shifts in supply Chapter 4 questions (p. 50) Exercise 4.3 (pp. 46–47) — the difference between demand and supply Case study 4.1: Champagne (p. 49) — the demand and supply of champagne
4	2.4 Consumer and producer surplus	Consumer surplus and producer surplus The effects of changes in price on consumer surplus The effects of changes in price on producer surplus The impact of changes in price on consumer and producer surplus	pp. 47–50	Exercise 5.2 (p. 56) — the effect of changes in supply on consumer and producer surplus
	2.5 The interaction of markets	Ceteris paribus The interaction of demand and supply Market equilibrium and disequilibrium The impact of changes in demand and/or supply in one market on a related market(s)	pp. 51–60	Knowledge check 5.4 (p. 57) — real-world situation of CO₂ shortage in 2018 Case study 5.1: A healthy diet? (p. 59) — demand and supply of organic foods Chapter 5 questions (p. 60)

5	2.6 Elasticity	Elasticity Price elasticity of demand (<i>PED</i>) Income elasticity of demand (<i>YED</i>) Cross elasticity of demand (<i>XED</i>) Price elasticity of supply (<i>PES</i>) Different values of <i>PED</i>, <i>YED</i>, <i>XED</i> and <i>PES</i> The relationship between <i>PED</i> and a firm's total revenue	pp. 61–76	Quantitative skills 6.2: Calculating an elasticity (pp. 62–63) Quantitative skills 6.3: Elasticity and total revenue (p. 64) Knowledge check 6.3 (p. 65) — elasticity and total revenue Exercise 6.1 (p. 67) — calculating <i>PED</i> Exercise 6.2 (p. 68) — calculating <i>YED</i> Real-world examples of <i>XED</i> — beer and wine (p. 69) Case study 6.1: Rice (p. 73) — <i>PED</i> in rice markets Case study 6.2: Bicycles (pp. 73–74) — <i>YED</i> of bicycles in China Case study 6.3: Fish (p. 74) — <i>PES</i> of fish in the South Seas Exercise 6.5 (p. 72) — a good exercise that brings together the four types of elasticity in a real context
6	2.6 Elasticity	Factors which determine the value of <i>PED</i>, <i>YED</i>, <i>XED</i> and <i>PES</i> The usefulness and significance of <i>PED</i>, <i>YED</i>, <i>XED</i> and <i>PES</i>	pp. 61–76	Knowledge check 6.7 (p. 70) — discusses elasticity of supply Chapter 6 questions (pp. 75–76) Stimulus response question (p. 75) — assesses cross elasticity in the context of the mobile phone market
7	2.7 The concept of the margin	Margin Total and marginal utility, diminishing marginal utility and the demand curve Marginal values	pp. 77–81	

	2.8 Market failure and externalities	Market failure Marginal social cost, marginal external cost, marginal private cost, marginal social benefit, marginal external benefit and marginal private benefit Positive and negative externalities (external benefits and external costs); consumption and production	pp. 90–103	Exercise 8.1 (p. 93) — the difference between production and consumption externalities, positive and negative (answers are discussed in the chapter) Externalities and identifying welfare loss are a difficult topic for students. Use the study tips in Chapter 8 to check understanding. There are good descriptions in the chapter of environmental, health and education externalities. Exercise 8.5 (pp. 100–01) — identifying types of externality from diagrams given under- or over-production or consumption. Case study 8.1: Healthcare: public or private? (p. 101) — positive externalities of vaccination Case study 8.2: Plastic oceans (p. 102) — useful to discuss the problems of tackling externalities on a global scale
8	2.10 Public goods	Public goods, private goods and quasi-public goods The characteristics of a public good; non-excludability, non-diminishability/non-rivalry, non-rejectability and zero marginal cost The free rider problem The provision of public goods	pp. 110–16	Exercise 9.4 (p. 113) — testing characteristics of public goods Case study 9.3: Paying for lighthouses (p. 115) — lighthouses as a public good

	2.9 Information failure	Information failure Asymmetric information and moral hazard Merit and demerit goods Market failure caused by information failure Consumption and production of merit goods Consumption and production of demerit goods	pp. 104–10, 114, 116	Exercise 9.1 (p. 105) — good discussion starter to introduce asymmetric information Good examples in the chapter on second-hand cars (the market for 'lemons'), pensions and insurance (pp. 106–07) Knowledge check 9.2, 9.3 and 9.4 (pp. 106–07) — questions to discuss the wider implications of information failure Case study 9.1: Asymmetric information (p. 114) — moral hazard and information failure in developing countries. Good link to 4.3.2 on development economics. Chapter 8 questions (p. 103) Chapter 9 questions (p. 116)
9	2.11 Government intervention	Government intervention in markets: taxation, subsidies, government expenditure, price controls, buffer stock systems, public/private partnerships, legislation, regulation, tradable pollution permits, information provision, competition policy Government failure	pp. 117–34	Chapter 10 extension material: Who pays the tax? (p. 119) — describes the incidence of tax Knowledge check 10.5 (p. 121) — a discussion question; ask students to draw it. Chapter 10 has good examples of maximum pricing (rent control) and minimum pricing (alcohol in Scotland) (pp. 124–25) Case study 10.1: A bittersweet tax? (pp. 132–33) — sugar tax
10	2.11 Government intervention	Evaluation of the effectiveness of government intervention Causes and consequences of government failure	pp. 128–34	Chapter 10 questions (p. 134)

11, 12		Revise 1 Introduction to microeconomics and 2 The role of markets Exam technique		Past paper materials: https://www.ocr.org.uk/qualifications/as-and-a-level/economics-h060-h460-from-2015/assessment/ Student workbooks — OCR A Level/AS Economics Workbook: Microeconomics 1 Useful questions and sample answers with marking guidance — OCR Economics Student Guide 1: Microeconomics 1
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Year 1: Spring term				
Week	Specification topic	Specification content	Student book pages	Additional notes
1	2.1 Economic growth	Economic growth The policy objective of economic growth Real and nominal Gross Domestic Product (GDP); changes in GDP over time Economic growth rates GDP per capita	pp. 302–08	Quantitative skills 22.1: Converting nominal measurements to real (p. 306) Knowledge check 22.4 (p. 306) — nominal GDP Exercise 22.2 (p. 307) — calculating growth in GDP using figures from the UK economy Quantitative skills 22.3: Calculating GDP per capita (p. 308) Chapter 22 study tip (p. 321) explains why GNI may be preferable to GDP Extension material in Chapter 23 (p. 329) — research on happiness and well-being
2	2.4 Inflation	Inflation, deflation, disinflation and hyperinflation The policy objective of low and stable inflation Real and nominal values Measuring inflation using the Consumer Prices Index and Retail Prices Index Explain and calculate the rate of inflation using index numbers Causes and consequences of inflation and deflation	pp. 346–57	Quantitative skills 25.1: Creating an index number (p. 347) — explains index numbers Exercise 25.1 (p. 347) — prices and index numbers Exercise 25.2 (p. 348) — calculating inflation rates and plotting inflation on a graph Exercise 25.3 (p. 351) — distinguishing between inflation, deflation and disinflation Chapter 25 (pp. 354–55) gives a useful description of inflation in the UK since 1949 Chapter 25 questions (p. 357)
3	2.3 Employment	Employment and unemployment The policy objective of full employment The labour force survey and claimant count measures of unemployment Causes and consequences of unemployment Effects of full employment	pp. 335–45	Exercise 24.1 (p. 338) — short question calculating unemployment rates Exercise 24.2 (p. 341) — types of unemployment Case study 24.1: The cost of unemployment (p. 344) — looks at the effects of unemployment on society Chapter 24 questions (p. 345)

4	2.5 Balance of payments	Balance of payments The components of the current account: trade in goods, trade in services, primary and secondary income The policy objective of a sustainable balance of payments position Imbalances on the balance of payments Balances on the different components on the balance of payments Causes and consequences of imbalances on the balance of payments	pp. 358–67 pp. 360–67	Exercise 26.1 (p. 362) — preparing the balance of payments accounts Chapter 26 questions (p. 367)
5	1.1 Circular flow of income	The circular flow of income, with injections and leakages The methods of measuring national income, output and expenditure	pp. 263–67	
	1.2 Aggregate demand	Aggregate demand and its components The relationship between aggregate demand and price level Shifts in the aggregate demand curve The relationship between changes in income and consumption The role of expectations	pp. 267–77	Exercise 19.2 (p. 268) — calculating <i>AD</i> and the trade balance Exercise 19.3 (p. 275) — true/ false on <i>AD</i> Case study 19.1: Investment and the financial crisis (p. 276) Chapter 19 questions (p. 277)
6	1.3 Aggregate supply	Aggregate supply The relationship between aggregate supply and price level in the short run and long run Shifts in the aggregate supply curve in the short run and long run	pp. 278–84	Chapter 20 extension material: Views of aggregate supply (p. 281) — useful outline of different schools of macroeconomic thought influencing the shape of the <i>LRAS</i> curve Exercises 20.1 and 20.2 (pp. 281 and 284) — shifts in <i>AS</i>

	1.4 The interaction of aggregate demand and supply	The assumptions underlying the aggregate demand and aggregate supply models Equilibrium in the macroeconomy Effects of changes in aggregate demand and aggregate supply on macroeconomic indicators	pp. 284–91	Exercise 20.3 (p. 288) — the difference between shifts and movements in <i>AD</i> and <i>AS</i> Case study 20.1: The importance of expectations (p. 290) — how expectations influence macroeconomic equilibrium Chapter 20 questions (p. 291)
7	1.5 The multiplier and the accelerator	Factors which determine the size of the national income multiplier The national income multiplier and accelerator The impact of the national income multiplier and accelerator on aggregate demand and economic cycle Average and marginal propensities to consume, save and withdraw Size of the national income multiplier	pp. 292–97	Quantitative skills 21.1: Calculating the average and marginal propensities to consume (p. 293) — shows how to calculate <i>MPC</i> and <i>APC</i> Exercise 21.1 (p. 294) — calculating the multiplier Exercise 21.2 (p. 294) — injection or leakage?
8	2.6 Trends in macroeconomic indicators	Key trends in UK macroeconomic performance in the last 20 years The current performance of the UK economy compared with other developed economies, emerging and developing economies	pp. 381–94, 395–400, 462–68, 330–33, 335–45	Chapter 28 covers what has happened in the UK economy over the last 20 years and makes international comparisons. It is useful to summarise two economic policy objectives. Case study 28.1: The UK's productivity puzzle (p. 393) Table 29.1 (p. 397) — data on inequality in the UK, USA, Norway Exercise 34.2 (p. 465) — calculating shares of world trade Chapter 23 describes the role of the environment
9	2.1 Economic growth	The different stages of the economic cycle Short-run and long-run economic growth Causes and consequences of economic growth in the short run and long run	pp. 309–17	Case study 22.1: China's economic growth (p. 316) Chapter 22 questions (p. 317)

	2.5 The multiplier and the accelerator	Output gaps; aggregate demand and aggregate supply model and a production possibility curve (PPC) Causes and consequences of an output gap	pp. 297–300	Exercise 21.3 (p. 299) — output gaps Chapter 21 stimulus response questions: C (p. 300) — the credit crunch and a negative output gap
10	3.1 Fiscal policy	Government budget Direct, indirect, progressive, proportional and regressive taxation Current and capital government expenditure Budget surplus, deficit and balanced budget Cyclical and structural budget position National and government debt Discretionary fiscal policy and automatic stabilisers Crowding out The Laffer curve Average and marginal tax rates The effectiveness of using fiscal policy to achieve the government's macroeconomic objectives	pp. 412–25	Exercise 30.2 (p. 419) — effect of fiscal policy on equilibrium output and price levels using classical and Keynesian models Knowledge checks 30.2, 30.3 and 30.4 (p. 414) — useful quick questions to revise fiscal policy Exercise 30.3 (p. 420) — calculating average and marginal tax rates Chapter 30 questions (p. 425)
11	3.2 Monetary policy	Changes in interest rates Changes in money supply Inflation rate targets Quantitative easing Influence of exchange rates The effectiveness of using monetary policy to achieve the government's macroeconomic objectives	pp. 426–37	Chapter 31 has a good explanation of monetary policy in the UK since 1997 (pp. 430–32) Case study 31.1: The Monetary Policy Committee (p. 436) Chapter 31 questions (p. 437)

12	3.3 Supply-side policy	Privatisation, deregulation and subsidies Competition policy Investment in infrastructure, education, training, research and development Reforms of the tax and benefit system Improved labour market flexibility Immigration control The effectiveness of using supply side policy measures to achieve the government's macroeconomic objectives	pp. 438–49	Knowledge check 32.2 (p. 441) — starter to introduce the need for interventionist supply-side policies Exercise 32.3 (p. 447) — assess understanding of fiscal, monetary and supply-side policies with the use of <i>AD/AS</i> diagrams Chapter 32 questions (p. 449)
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Year 1: Summer term				
Week	Specification topic	Specification content	Student book pages	Additional notes
1	3.4 Policy conflicts	Conflicts and trade-offs between policy objectives	pp. 425–60	Chapter 31 discusses the different policy responses of the UK and USA to the financial crisis Chapter 30 and 31 questions (pp. 425, 437) Chapter 32 questions (p. 449) Exercise 32.3 (p. 447) — identifying fiscal, monetary or supply-side policies Case study 32.1 (p. 448) — useful exercise to revise the three types of policy and how they can help meet macroeconomic objectives
2	2.8 The Phillips curve	Natural rate of unemployment; non-accelerating inflation rate of unemployment (NAIRU) Keynesian and neo-classical approaches to aggregate supply Short-run and long-run Phillips curve The usefulness of the Phillips curve for macroeconomic policymakers	pp. 450–60	Exercise 33.1 (p. 453) — plotting a graph to test the Phillips curve hypothesis with data from 2008–17 Chapter 33 questions (p. 460)
3		Revision Practice questions		Past paper materials: https://www.ocr.org.uk/qualifications/as-and-a-level/economics-h060-h460-from-2015/assessment/ Student workbooks — OCR A Level/AS Economics Workbook: Macroeconomics 1 Useful questions and sample answers with marking guidance — OCR Economics Student Guide 2: Macroeconomics 1
4	3.2 Costs and economies of scale	Fixed, variable, total, average, marginal costs Short run and long run in terms of fixed and variable factors	pp. 136–42	Quantitative skills 11.1 (p. 140) explains the relationships between output and costs. These are then graphed in quantitative skills 11.2 (pp.

				140–41). Exercise 11.2 (p. 141) — calculating short-run costs Exercise 11.5 (p. 148) — calculating and then drawing long-run average and marginal cost curves
5	3.2 Costs and economies of scale	The law of diminishing returns Internal and external economies of scale Diseconomies of scale Minimum efficient scale Causes of economies and diseconomies of scale The significance of economies and diseconomies of scale	pp. 142–53	Figure 11.6: Possible shapes of the <i>LAC</i> curve — useful to link to the extent of fixed costs in an industry (natural monopoly) Exercise 11.6 (p. 152) — calculating and identifying normal and supernormal profit Case study 11.1: Economies and diseconomies of scale (p. 152) — calculating and graphing long-run average costs and identifying economies and diseconomies of scale Chapter 11 questions (p. 153)
6	3.3 Revenue and profit	Total, average and marginal revenue Profit/loss Accounting, normal and supernormal profit	pp. 154–63	Exercise 12.1 (p. 155) — students identify the profit-maximising level of output on a graph. Use knowledge check 12.3 (p. 157) to emphasise the difference between sales and sales revenue Chapter 12 questions (p. 163) The essay question makes for a useful discussion.
7	3.1 Business objectives	Maximisation objectives: profit, sales revenue, sales volume, growth and utility Non-maximising objectives: profit satisficing, social welfare, corporate social responsibility (CSR) The principal–agent problem Evaluation of maximisation and non-maximisation objectives Factors which influence the choice of objectives	pp. 155–61	
8		Revision and mock exams		

Year 2 OCR Economics linear scheme of work

This Scheme of Work is based on:

- 32 weeks' teaching in Year 1 — including 4 weeks' revision
- 20 weeks' teaching in Year 2 — in order to finish teaching by Easter

This should give centres some flexibility to accommodate mock exams and other disruptions to the school timetable.

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Year 2: Autumn term				
Week	Specification topic	Specification content	Student book pages	Additional notes
1	4.1 Perfect competition	The characteristics of perfect competition Short-run perfect competition; supernormal profit/loss Long-run perfect competition: normal profits Individual firm in perfect competition as a price taker Equilibrium price and output for a firm in perfect competition Allocative efficiency in short-run and long-run perfect competition Productive efficiency in long-run perfect competition	pp. 166–79	Exercise 13.1 (p. 169) is a good introduction to the spectrum of competition and how this influences the firm's actions Case study 13.1: Competition online (p. 178) — illustrates how the internet has made markets more perfect Exercise 13.2 (p. 171) — calculating revenues and supernormal profits Extension material: A word of warning (p. 177) — effect of a market structure on a firm's ability to invest Chapter 13 questions (p. 179)
2	4.2 Monopoly	The characteristics of monopoly Dynamic efficiency X-inefficiency Monopoly; supernormal profit in both short and long run A monopolist as a price maker Equilibrium price and output for a profit-maximising monopolist Productive and allocative efficiency with a profit-maximising monopolist Price discrimination by a firm with monopoly power Natural monopoly Advantages and disadvantages of a monopoly Advantages and disadvantages of a natural monopoly	pp. 180–98	Exercise 14.1 (p. 184) — calculating and plotting revenues for a monopoly Chapter 14 includes real examples of monopolies and how they have arisen Exercise 14.3 (p. 195) — thinking about real-world price discrimination Chapter 14 questions (pp. 197–98) The stimulus response question about the water industry is a good example and tests natural monopoly

3	4.3 Monopolistic competition	The characteristics of monopolistic competition Short-run monopolistic competition; supernormal profit/loss Long-run monopolistic competition; normal profits Equilibrium price and output for a firm in monopolistic competition Advantages and disadvantages of monopolistic competition	pp. 199–204	Exercise 15.1 (p. 204) — pricing under monopolistic competition
	4.4 Oligopoly	The characteristics of oligopoly Non-price competition Interdependence: kinked demand curve Types of collusion Product differentiation Concentration ratios Advantages and disadvantages of oligopoly markets	pp. 204–14, 218	Extension material: The operation of a cartel (p. 208) Exercise 15.2 (p. 210) — quick check on knowledge of market structures Figure 15.6 Concentration in UK industry, 2004 (p. 212) — useful graph to show the 5-firm concentration ratio in selected businesses Good description of newspaper price wars (pp. 212–13) Useful diagrammatic explanation of limit pricing in (p. 214) Case study 15.1: Competition in oligopolistic markets (p. 218)
4	4.5 Contestable markets	The characteristics of a contestable market Productive and allocative efficiency in a contestable market Advantages and disadvantages of a contestable market	pp. 205–19, 127–28, 189–91	Exercise 15.4 (p. 216) — good examples for discussing contestability Chapter 15 questions (p. 219) Chapter 10 (p. 127) describes the role of the Competition and Markets Authority Chapter 14 (pp. 189–91) describes how governments intervened with privatised natural monopolies such as water and gas

5		Revision		Past paper materials: https://www.ocr.org.uk/qualifications/as-and-a-level/economics-h060-h460-from-2015/assessment/ Student workbooks — OCR A Level/AS Economics Workbook: Microeconomics 2 Useful questions and sample answers with marking guidance — OCR Economics Student Guide 3: Microeconomics 2
6	5.1 Demand for labour	Derived demand for labour Factors affecting the demand for labour in an industry Factors affecting wage elasticity of demand for labour Productivity and unit labour costs Marginal revenue product theory in relation to employment and wage determination	pp. 222–30	Exercise 16.1 (p. 225) — calculating <i>MRP</i> and <i>MPP</i> Exercise 16.2 (p. 228) — factors affecting the demand for labour, using diagrams Chapter 16 questions (p. 230)
	5.2 Supply of labour	Factors affecting the supply of labour to an industry Factors affecting the wage elasticity of the supply of labour Short-run and long-run supply of labour Economic rent and transfer earnings	pp. 231–39	Exercise 17.1 (p. 234) — factors affecting the supply of labour, using diagrams Chapter 17 questions (p. 239)

7	5.3 The interaction of labour markets	Wage differentials Monopsony Trade union Bilateral monopoly The determination of wages in a highly competitive labour market Changes in demand for, and supply of, labour The impact of changes in labour market flexibility and mobility of labour The impact of trade union activity on labour markets The impact of a monopsonist employer on a labour market The impact of a bilateral monopoly on a labour market	pp. 240–59	Extension material: Monopsony in a product market (p. 245) — the CMA's investigation into supermarket monopsony — link back to market structures Exercise 18.2 (p. 246) — testing interpretation of the monopsony labour graph Use knowledge check 18.3 (p. 250) to assess understanding of bilateral monopoly Exercise 18.4 (p. 256) — assesses understanding of shifts in demand and supply of labour Case study 18.1: Valuing professional footballers (p. 258) — how an economist would value football players Chapter 18 questions (p. 259)
8		Revision Practice questions		Past paper materials: https://www.ocr.org.uk/qualifications/as-and-a-level/economics-h060-h460-from-2015/assessment/ Student Workbooks — OCR A Level/AS Economics Workbook: Microeconomics 2 Useful questions and sample answers with marking guidance — OCR Economics Student Guide 3: Microeconomics 2
9	4.1 International trade	International trade Patterns of international trade over time Advantages and disadvantages of international trade to developed, emerging and developing countries	pp. 472–89	
10	4.2 Exchange rates	Exchange rates Determination of exchange rates in fixed and floating exchange rate systems Causes and consequences of exchange rate changes Advantages and disadvantages of different exchange rate systems	pp. 368–80, 480–81	Exercise 27.2 (p. 373) — calculating exchange rates, devaluation. Case study 27.1: Balancing the balance of payments (p. 379) — how China fixes its exchange rate to achieve this Chapter 27 questions (p. 380)

11	4.3 Globalisation	Globalisation International competitiveness Absolute and comparative advantage Terms of trade Marshall–Lerner condition and J-curve Terms of trade	pp. 472–89	In Chapter 35 there are two different examples to illustrate absolute and comparative advantage — numerical and diagrammatical Exercise 35.1 (p. 477): reading production possibility curves
12	4.3 Globalisation	Comparative advantage as an explanation of international trade patterns Causes and consequences of globalisation on developed, emerging and developing countries The impact of the performance of emerging economies on other economies	pp. 472–89	Extension material: The terms of trade and developing countries (p. 479) — links terms of trade and price volatility in developing countries Chapter 35 (pp. 482–86) describes the consequences of globalisation, including the financial crisis Chapter 35 questions (p. 489)

Year 2: Spring term				
Week	Specification topic	Specification content	Student book pages	Additional notes
1	4.4 Trade policies and negotiations	Protectionism Economic integration through free trade areas, customs unions, monetary union, economic union The impact of tariffs and quotas on trade creation and trade diversion	pp. 490–98, 508	Exercise 36.1 (p. 495) — short questions to assess understanding of a tariff diagram Knowledge check 36.3 (p. 495) — quick starter for non-tariff barriers Case study 36.1: The European Union (p. 508)
2	4.4 Trade policies and negotiations	Advantages and disadvantages of protectionism and free trade The role of the World Trade Organisation (WTO) in promoting free trade	pp. 498–510	Case study 36.2: Tariff retaliation (p. 509) — using numbers to assess the effects on tariffs Chapter 36 questions (p. 510)
3	2.7 Income distribution and welfare	Income and wealth; distribution and inequality The policy objective of a more even distribution of income Absolute and relative poverty Inequality data; Gini coefficients and relevant quartiles The distribution of income (Lorenz curve) Causes and consequences of poverty and inequality	pp. 395–410	Knowledge check 29.3 (p. 398) — interpretation of a Lorenz curve Exercise 29.1 (p. 399) — calculating ratios from quintiles and drawing a Lorenz curve Exercise 29.2 (p. 403) — could be done as a group exercise discussing measures to reduce poverty Case study 29.1: Inequality and economic growth (pp. 408–09) Chapter 29 questions (p. 410)

4	2.2 Development	The structure of an economy in terms of primary, secondary and tertiary sectors The policy objective of sustainable development The relationship between economic growth and sustainable development The usefulness of macroeconomic measures such as GDP, the Human Development Index (HDI) and other alternative social and cultural indicators	pp. 318–34, 488–89, 526–35	Exercise 23.1 (p. 325) — useful starter to introduce living standards Knowledge checks 23.5, 23.6 and 23.7 (pp. 326–28) — useful facts about development to think about Exercise 23.3 (p. 329) — indicators of development to discuss Case study 23.1: Wildlife tourism (p. 333) — tourism in Tanzania Chapter 23 questions (p. 334) Case study 35.1: FDI and developing countries (p. 488) Chapter 35 questions: C — question on Togo (p. 489)
5		Revision		Past paper materials: https://www.ocr.org.uk/qualifications/as-and-a-level/economics-h060-h460-from-2015/assessment/ Student workbooks — OCR A Level/AS Economics Workbook: Macroeconomics 2 Useful questions and sample answers with marking guidance — OCR Economics Student Guide 4: Macroeconomics 2
6	5.1 Money and interest rates	Functions and characteristics of money The creation and supply of money Narrow and broad money in terms of liquidity The relationship between the money supply and the price level; Fisher equation of exchange The determination of interest rates	pp. 512–23	Starter knowledge check 37.2 (p. 515) Exercise 37.1 (p. 517) — assessing knowledge of the Fisher equation Knowledge check 37.4 (p. 518) — calculating the real rate of interest Read extension material: Evaluation of the Fisher equation (p. 518) Exercise 37.3 (p. 52) — the money supply and interest rate diagram Chapter 37 questions (p. 523)

7	5.2 The financial sector	The role of the financial sector The role of savings and investment in promoting economic development The Harrod–Domar model Microfinance The role of the financial sector in promoting economic development	pp. 524–35	Extension material: The Grameen Bank (p. 531) — microfinance Case study 38.1: Access to finance (p. 534) — saving and investment Chapter 38 questions (p. 535) — assess the role of the financial sector in promoting development
8	5.3 Financial regulation	Purpose and methods of financial regulation The role and functions of a central bank The importance of the regulation of financial institutions The effectiveness of different policy measures available to a central bank in targeting macroeconomic indicators The role of the International Monetary Fund (IMF) and the World Bank in regulating the global financial system	pp. 536–51	Chapter 39 describes the role of the Bank of England in economic policy since 1997 through the financial crisis Case study 39.1: The bailout of Greece in 2010 (p. 550) Chapter 39 questions (p. 551)
		Revision		Past paper materials: https://www.ocr.org.uk/qualifications/as-and-a-level/economics-h060-h460-from-2015/assessment/ Student workbooks — OCR A Level/AS Economics Workbook: Macroeconomics 2 Useful questions and sample answers with marking guidance — OCR Economics Student Guide 4: Macroeconomics 2